

# A SNAPSHOT OF INDIAN IT SERVICES FIRMS

➤ LTIMindtree has emerged as the fifth largest IT services firm in terms of market capitalisation in the BT500 study this year ➤ LTIMindtree’s income has grown the highest at 25.5 per cent during the study period

| Company Name              | 2023/2022 Rank | Average Market Cap* | Total Income    | PAT           | ROE (%) | TTM P/E Multiple |
|---------------------------|----------------|---------------------|-----------------|---------------|---------|------------------|
| Tata Consultancy Services | 2/2            | 12,13,956 (-5.3)    | 2,29,068 (17.0) | 42,303 (10.0) | 47.3    | 28.70            |
| Infosys                   | 6/4            | 5,99,162 (-13.5)    | 1,50,115 (21.1) | 24,108 (8.9)  | 32.3    | 23.99            |
| HCL Technologies          | 15/16          | 3,01,257 (1.6)      | 1,02,818 (18.6) | 14,845 (9.8)  | 23.4    | 22.99            |
| Wipro                     | 24/ 17         | 2,14,395 (-27.6)    | 93,253 (14.5)   | 11,367 (-7.2) | 16.0    | 17.73            |
| LTIMindtree               | 38/NA          | 1,33,856 (38.0)     | 33,753 (25.5)   | 4,410 (11.7)  | 29.2    | 36.88            |

**NOTE** DATA AS OF NOVEMBER 17, 2023; \*FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E: PRICE TO EARNINGS; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YOY; RESULTS ARE ON A CONSOLIDATED BASIS; TTM: TRAILING 12 MONTHS; NA: NOT APPLICABLE **SOURCE** ACE EQUITY

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25.5 per cent during the study period, although on a smaller base compared to its peers. The company has also achieved 2x growth in terms of client accounts worth over \$10 million. Also, LTIM posted strong sales growth for the quarter ended September, with revenues up 43.62 per cent from the year ago period. Its operating income has also increased in the September quarter, growing 29.10 per cent from the year ago period.

Even analysts tracking the company are bullish about the company. For instance, US-based investment solutions provider MarketGrader, in a research note, states, “Its (LTIM’s) long-term results have been much better, with trailing 12-month sales and operating income jumping by triple digits in the last three years. More specifi-

cally, the company’s total sales and operating profit more than doubled in the 12 months ended last quarter (ended September) from three years ago.”

Incidentally, HDFC Securities, which tracks, expects this growth to continue in the coming quarters. “Since the merger a year ago and with the integration process complete, LTIMindtree is set for sustainable growth outperformance,” it stated in a research note. This growth is expected on the back of a robust and growing deal pipeline, along with strong traction in high-growth services compared to larger IT peers. Moreover, the merger—which brought L&T Infotech’s engineering prowess and Mindtree’s customer-centric approach together—has presented LTIM with a large cross-selling opportunity, an-

alysts note. The report from HDFC Securities states that out of the nine service lines LTIM currently offers its clients, it can potentially increase its metric of around four service lines per client to around five to six service lines, based on its strong client mining prowess. On the cross-selling opportunity, Chatterjee said, “When we came together, [on] November 14 last year, we were more focussed on the integration. I think we did the integration in record time. We also ensured that all the solutions that we want to take to the market, the training, our go-to-market, workforce, all those things have been done so that we can do the cross-selling and the up-selling properly.”

With LTIM actively working to improve its margins per client, Nachiket Deshpande, its Chief Op-